

Why diversification matters

Bundle Academy · Core path · Level 1 · 3 min · Source document for NotebookLM video generation

Power laws, failure rates, and why professionals build portfolios instead of picking winners.

WHAT THIS VIDEO MUST LAND

By the end the viewer should be able to state the argument below in their own words. It is one argument, not a list of tips. Every number is illustrative of published ranges, not a forecast of any specific investment.

- Roughly 6 in 10 early-stage companies return less than you put in.
- A handful of winners produce most of the return of any given set.
- You cannot pick the winners reliably, so hold enough positions to own one.
- Diversify across sector and stage, not just company count.

THE ARGUMENT, IN ORDER

1 Most of them return nothing

Narration: Out of 100 early-stage companies, roughly 60 return less than the money put in. That is the base rate, not bad luck.

On screen: A grid of 100 dots, one per company, split into: 60 lose money; 35 return 1x to 5x; 5 return the fund.

Hold: about 7 seconds

2 A handful carry everything

Narration: The top 5 companies produce most of the return of the whole set. Miss them and the arithmetic never recovers.

On screen: A bar chart measured in x money back: Bottom 60 = 0.3 x money back; Middle 35 = 2.2 x money back; Top 5 = 27 x money back.

Hold: about 7 seconds

3 So how many do you need?

Narration: Drag it. With a 5% chance any one company is a big winner, holding more positions is the only lever you actually control.

On screen: A grid of 100 dots where 20 are held, showing how many winners a portfolio of that size is likely to capture at a 5% hit rate.

Hold: about 9 seconds · interactive control: Positions held (1–50)

4 Breadth is a decision, not a hope

Narration: Spread across sectors and stages too. Correlated bets fail together, which quietly undoes the spread you thought you had.

On screen: A donut visual.

Hold: about 7 seconds

5 What this buys you

Narration: Not safety. Survival: enough positions that one failure is an event, not the end of your private-markets portfolio.

On screen: A stat visual.

Hold: about 6 seconds

THE SAME ARGUMENT IN PROSE

Early-stage investing has an ugly, well-documented shape: most companies return nothing, a middle band returns something modest, and a tiny top slice returns almost all of the money. Published venture datasets differ on the exact split, but every one of them has the same tail.

That shape breaks the instinct most people bring from public markets, which is to pick carefully and hold a few names you believe in. Picking carefully is fine. Picking few is what kills you, because the winners are not identifiable in advance and the losses arrive first.

Professionals answer this with breadth. A seed fund is not making twenty bets because it likes twenty companies equally; it is making twenty bets because the return maths only works if it is holding the outlier when the outlier appears.

Breadth has a second requirement people skip: the positions have to be genuinely different. Twenty fintech companies in the same funding vintage are closer to one bet than twenty. Spread across sector, stage and route in, and the correlation between your failures drops.

TONE AND CONSTRAINTS

- **Never give advice.** Describe how the asset class behaves. Do not tell the viewer what to buy, how much to invest, or that anything is a good opportunity. No "you should", no "we recommend".
- **Do not invent numbers.** Use only the figures in this document. If a figure is not here, leave it out rather than estimating one.
- **Keep the risk honest.** Losing everything is the single most likely outcome for any one early-stage company. Never soften that, and never end on a purely upbeat note that contradicts it.
- **Plain English.** UK spelling. Expand any term the first time it appears. No hype words: no "unlock", "supercharge", "game-changing", "revolutionary".
- **Calm, factual delivery.** This is an explainer, not a pitch. No urgency, no countdowns, no scarcity.
- **No specific companies.** Do not name real companies as examples, and do not imply any listing is available or recommended.

BASIS OF THE FIGURES

Illustrative model based on published early-stage outcome ranges. Not a forecast.

Bundle is an aggregator of private-market opportunities listed on third-party venues. It holds no client money, executes no trades and gives no advice. Private-market investments are illiquid, are not covered by the FSCS, and you may lose all the money you invest. This document is educational source material, not a financial promotion.